India & Brunei: Strengthening Partnership, Shaping Shared Growth

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Foreword

Brunei Darussalam occupies a distinctive position within the economic landscape of South-East Asia. Home to roughly 450,000 people on the north-western coast of Borneo, with a stable political system, very high per-capita income, a strong sovereign balance sheet, a pegged currency and a tradition of excellence in oil, gas and Islamic finance, Brunei holds long-term promise in food and halal products, downstream energy and petrochemicals, renewable energy and hydrogen, healthcare, information technology, education and services. At the same time, a very small domestic market, heavy dependence on hydrocarbons, localisation and halal requirements, high logistics costs and the pace of economic diversification temper the speed at which this potential translates into realised opportunity, shaping a market where capital, stability and quality standards coexist with real limits of scale.

India and Brunei have maintained friendly and enduring relations, supported by political dialogue, cooperation in ASEAN-led forums, energy and space links, and strong people-to-people ties anchored by a long-established Indian professional community. Bilateral trade has remained modest relative to its potential and is dominated by Brunei hydrocarbons, with Indian exports including foodstuffs, medicines, vehicles, machinery and manufactured goods, while Brunei offers energy, petrochemicals, capital and a trusted halal brand.

Looking ahead, this paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Brunei in a manner appropriate to current conditions, whether through sector-specific market intelligence, structured business matchmaking, identification of credible local partners, or institutional dialogue with Brunei's relevant ministries, the Brunei Economic Development Board and national chambers of commerce, that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of the Bruneian economy, its priority sectors, and the opportunities and constraints shaping India–Brunei economic engagement, serving as a reference for CCI India's engagement with the High Commission of India in Bandar Seri Begawan, Bruneian stakeholders, and Indian companies assessing the market. Conditions can change, figures in this paper are indicative, and readers should verify current circumstances before commercial decisions are taken.



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BRUNEI DARUSSALAM

> Rooted in tradition and guided by harmony, a quiet prosperity reflects a nation where culture, faith, and stability move together with grace.



Basic Facts, Population, and Currency

Brunei Darussalam, officially the Nation of Brunei, the Abode of Peace, is a small, strategically located sovereign state on the island of Borneo. It operates under a Malay Islamic Monarchy system, with His Majesty the Sultan and Yang Di-Pertuan serving as the Head of State and Government.

Economy, GDP, and Strategic Diversification

Brunei's economic profile is defined by its significant wealth derived from vast hydrocarbon resources, specifically crude oil and natural gas, which have historically been the backbone of its prosperity. However, the nation is actively pursuing economic diversification under its long-term strategic plan, Wawasan 2035, aiming for a sustainable and dynamic economy away from dependence on the oil and gas sector. Recent data from the Department of Economic Planning and Statistics (DEPS) shows encouraging economic performance. Brunei's GDP experienced a notable annual expansion of 4.2% in 2024, driven by increases in both the Oil & Gas sector (5.5%) and the Non-Oil & Gas sector (3.1%). The GDP at current prices for 2024 was valued at approximately BND 20.66 billion (or around USD 15.46 billion).

Economic Outlook and GDP Forecast (2025)

The extraordinary GDP growth rate of 4.2% achieved in 2024, driven largely by a recovery in the oil and gas (O&G) sector (e.g., new fields and rejuvenation activities), is expected to moderate in 2025 due to base effects.



Culture and Heritage

Brunei's culture and heritage are deeply rooted in Malay traditions and strongly influenced by Islam, which plays a central role in daily life and governance. Known as "Melayu Islam Beraja" (Malay Islamic Monarchy), the country's identity combines Malay customs, Islamic values, and respect for the monarchy. Traditional practices such as wearing modest attire, performing arts, and celebrating festivals like Hari Raya Aidilfitri reflect its cultural richness.

- GDP Growth Forecast (2025): The Centre for Strategic and Policy Studies (CSPS) forecasts Brunei's GDP growth to normalize to a range of 1.5% to 2.0% in 2025. The IMF, in its October 2025 World Economic Outlook, estimates Real GDP growth for Brunei at 1.8%.
- Key Drivers: Growth will continue to be underpinned by the downstream O&G industry, with substantial contributions anticipated as the second phase of the Hengyi Petrochemical complex is expected to go online. Sustained expansion in the non-O&G sectors (manufacturing, logistics, financial services) is also crucial to reaching the 2.0% target.
- Wawasan 2035 Progress: A significant milestone has been observed, with reports noting an historic shift where Brunei now exports more non-oil and gas products than O&G commodities. This indicates that the diversification efforts are yielding tangible results.

Bilateral Trade with India (2025)

Bilateral trade between India and Brunei is characterized by cooperation in energy, trade, and investment. India imports crude oil and liquefied natural gas from Brunei, making energy a key component of their economic relationship. In return, India exports goods such as machinery, textiles, rice, and manufactured products to Brunei. Both countries have been working to strengthen ties through agreements in trade, defense, and technology, as well as through regional platforms like ASEAN. Although the overall trade volume is modest compared to larger economies, the relationship continues to grow steadily, supported by mutual interests and friendly diplomatic relations.



Imports from India (Brunei's Exports)

Key Products: The primary products exported from India are high-value and consumer items, with the largest categories being Motor Vehicles/Cars, followed by Meat and edible meat offal (especially frozen bovine meat), Machinery and mechanical appliances, and essential goods like Cereals (including rice and spices), and Pharmaceutical Products.
Key Players: Indian Automobile Manufacturers and their authorised dealers in Brunei are key players. Other significant contributors include major Indian Meat/Food Export Houses and Pharmaceutical Companies that supply the Bruneian market.

Exports to India (Brunei's Imports)

Key Products: Brunei's exports are dominated by its core industry. The largest product imported by India is Crude Petroleum, a critical raw material for Indian refineries. Other exports include Nitrogenous Fertilizers and various chemical products.
Key Players: The main players involved in this trade are Brunei's state-owned and associated enterprises in the hydrocarbon sector, such as Brunei Shell Petroleum and its joint ventures (e.g., Brunei LNG), which are the sole major suppliers of crude oil and energy-related products to India's public and private sector refineries.

1. Brunei: Economic Profile and Business Environment

1.1 Country overview

Brunei Darussalam is a small, high-income sultanate on the north-western coast of the island of Borneo, in South-East Asia. Its land area of about 5,765 square kilometres is divided into two non-contiguous parts, separated by the Malaysian state of Sarawak, and is organised into four districts: Brunei-Muara, Belait, Tutong and Temburong. The population is about 450,000, of whom roughly two-thirds live in the Brunei-Muara district around the capital, Bandar Seri Begawan. Malay is the official language and English is widely used in business, government and education. Brunei is a member of ASEAN, the Commonwealth, the Organisation of Islamic Cooperation and APEC, and has been a United Nations member since 1984.

Brunei has one of the highest per-capita incomes in Asia, built over decades on oil and natural gas. The state provides extensive public services, there is no personal income tax, and the Brunei dollar is pegged at par to the Singapore dollar. The economy is, however, small, concentrated in hydrocarbons and heavily shaped by the public sector. National policy under **Wawasan Brunei 2035** aims at an educated and highly skilled population, a high quality of life and a dynamic, sustainable economy, with diversification and private-sector growth as the central means. This paper should be read as a framework for engagement; figures are indicative and must be checked against current official sources before any business decision is taken.

1.2 Structure of the economy

Oil and gas: upstream crude oil and natural gas production, liquefied natural gas (LNG) and related services account for roughly half of GDP and the overwhelming majority of exports and government revenue.

Downstream and industry: a large integrated refinery and petrochemical complex on Pulau Muara Besar, methanol and ammonia-urea plants at Sungai Liang, and a small base of food, construction-materials and light manufacturing firms.

Services: public administration, education, health, finance, wholesale and retail trade, transport and tourism make up most of the non-oil economy. Islamic banking and takaful are well established.

Agriculture, forestry and fisheries: rice, poultry, eggs, vegetables, aquaculture and fisheries, supported by food-security programmes. A large share of the country remains under tropical forest.

Emerging sectors: halal products, ICT and digital services, downstream petrochemicals, aquaculture, eco-tourism, renewable energy and hydrogen are the main diversification themes.

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1.3 Institutions and governance

Brunei is an absolute monarchy under His Majesty Sultan Haji Hassanal Bolkiah, who is Head of State and Head of Government and holds the Prime Minister, Finance and Economy, and Foreign Affairs portfolios. A Council of Ministers administers government; the Legislative Council is consultative. Brunei operates a legal system based on English common law together with Islamic law, which has been applied progressively in recent years, and foreign businesses and staff are expected to understand and respect local norms.

Economic policy is coordinated by the Ministry of Finance and Economy, with the Brunei Economic Development Board (BEDB) leading investment promotion, Darussalam Enterprise (DARe) supporting local enterprise, and the Brunei Darussalam Central Bank (BDCB) supervising the financial sector. The Brunei Investment Agency manages the sovereign reserves. For investors, the main considerations are the small market, dependence on public-sector demand, local-content and localisation policies, and compliance with halal and religious requirements, rather than macro-political instability.

1.4 Trade orientation

Brunei is a highly open, import-dependent economy. It exports crude oil, LNG, methanol, ammonia and urea and refined petroleum products, mainly to Japan, South Korea, Thailand, Singapore, Australia, India, China and other Asian markets. It imports machinery, vehicles, food, pharmaceuticals, construction materials and consumer goods, mainly from Malaysia, Singapore, China, the United States, Japan, the European Union and Indonesia. Brunei is a party to the ASEAN Free Trade Area, the ASEAN plurilateral agreements with China, Japan, Korea, India, Australia and New Zealand, the Regional Comprehensive Economic Partnership (RCEP), the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) and a bilateral economic partnership agreement with Japan. Import duties are low or nil on most goods, with higher rates on selected items such as vehicles, alcohol-related and tobacco products.

1.5 Business environment summary

Factor	Observation	Implication
Political and security context	Stable monarchy; low conflict risk; predictable policy	Long-term planning possible; follow national priorities
Market size	About 450,000 consumers; very high income	Niche, quality-led and project-based strategy; ASEAN links

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